Take More Care

HEALTH INSURANCE

Health insurance is a crucial financial cushion when you need hospitalisation or face a health condition that requires treatment in a hospital



Thinking of unpleasant things isn't something any of us would opt for. But life is full of surprises, and it is in our best interest to be prepared for tough times, especially if it incurs financial losses. With healthcare costs rising by about 10-12 per cent per year, even some of our best-laid plans can be derailed by a debilitating ailment. The role of health insurance is often underestimated, but it is an essential financial tool that can protect us from unexpected health crises. Health insurance is ever-evolving, and today there are policies that cover individuals and their families, including a range of dependants. You can have your children, parents and in-laws insured under a single health insurance policy.

It is widely perceived that health deteriorates or requires attention as we age. With growing lifestyle diseases, such as hypertension and diabetes, among Indians, not having health insurance could result in an avoidable financial mess. Imagine a scenario where you are diagnosed with diabetes in your 30s; the next 30 years could cause health scares unless you stay disciplined. A life with major health problems that include heart attack, stroke, kidney failure, loss of vision and nerve damage, the list can be long. This may be a bleak picture, but let's face it: these things do happen and can happen to anyone.

The importance of health insurance cannot be stressed enough. Several insurers now offer health insurance policies. The range of available policies is no longer straightforward, one-size-fits-all. You have the choice of a simple health insurance policy, popularly known as the base insurance and a slew of add-ons that you could attach to it to widen the scope of health risks as well as coverage. In a way, health insurance has become like a pizza with a base, add-ons and a choice of dips to suit your needs. Naturally, this also means that insurance costs vary across insurers, policyholders' age, and coverage levels.

↘ DECODING HEALTH INSURANCE

A health insurance policy is a contract between a health insurance company and the policyholder. Under this contract, the policyholder agrees to pay a premium to the insurer, who, in return, promises to provide financial coverage in the event of a medical emergency. The policy, being a legal contract, is worded specifically to cover the conditions under which it pays for treatment, and the limits of the coverage. This limit is the sum insured and is the maximum amount you can claim in a policy year.

As a policyholder, it is in your interest to read the policy document carefully to understand what is covered and how much you are entitled to in case of a claim resulting from hospitalisation. A mistake that policyholders often tend to make is not reading the policy details or understanding it and assuming that the insurance would pay for everything, which is not the case. A health insurance policy covers only the

YOU CAN EXPAND THE SCOPE OF YOUR HEALTH INSURANCE BY ADDING THE TOP-UP OPTIONS TO YOUR BASE POLICY